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Equity Research

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Flash Comment — March 9, 2026

U.S. Software

Microsoft Corporation

Agentic Adoption Hinges on Security; E7 SKU Presents $100B Upsell Opportunity

Overweight
Price Target: $615.00

Ticker	MSFT
Upside/(Downside) to Target	**50.4%**
Price (03/06/2026)	**$408.96**
52 Week Range	$344.79 - 555.45
Market Cap (MM)	$3,050,842

Source: Company Data, Wells Fargo Securities estimates, and Factset. NA = Not Available, NC = No Change, NE = No Estimate

Michael Turrin, CFA
Equity Analyst | Wells Fargo Securities, LLC
Michael.Turrin@wellsfargo.com | 628-629-7565

Austin Williams
Associate Equity Analyst | Wells Fargo Securities, LLC
Austin.R.Williams@wellsfargo.com | 628-629-7572

Ronit Shah
Associate Equity Analyst | Wells Fargo Securities, LLC
Ronit.Shah@wellsfargo.com | 212-214-1379

Griffin MacMaster
Associate Equity Analyst | Wells Fargo Securities, LLC
Griffin.MacMaster@wellsfargo.com | 908-566-6943

Rachel Chang
Associate Equity Analyst | Wells Fargo Securities, LLC
Rachel.Chang@wellsfargo.com | 212-214-3315

Our Call

Leveraging its signif E3 + E5 installed base, MSFT's new E7 SKU + merchandising muscle could prove a catalyst for broader M365 Copilot & Agent 365 adoption into C2H26. We est 325M seats addressable, inc. 150M M365E3/E5 or $100B potential upsell opp.

Initial Thoughts

Agent 365, E7 'Frontier Suite' SKU, and Copilot Wave 3: MSFT this morning announced a trio of M365 advancements:

1. **Agent 365 announced at $15 per user per month**, a control plane for managing agents. New SKU will be generally available on May 1, 2026.
2. **New E7 SKU announced at $99 per user per month**, incl M365 E5, Entra Suite, Agent 365, and M365 Copilot. New SKU will be generally available on May 1, 2026.
3. **M365 Copilot Wave 3 released**, built in "close collaboration" with Anthropic's Cowork.

Expect E7 bundle upsells drive M365 Copilot, Agent 365 adoption; price hikes timely: New Agent 365 offer brings agent registry/agent ID (in Entra), observability, risk signals, etc.—all important prerequisites for agentic adoption. Similar to M365 Copilot, see Agent 365 adoption as unlikely standalone (via $30/mo, $15/mo SKUs) and instead expect both see accelerated adoption via E7 SKU. Note: recent M365 price hikes already force enterprise negotiations in 2H26, creating NT adoption catalyst.

Quantifying E7 opp: est ~325M enterprise seats, incl ~150M E3/E5 seats; est E7 = $100B annual upsell opp: See existing E3/E5 seats as highest propensity to adopt E7. Recall MSFT rolled out M365 E3/E5 suites on Aug 1, 2017, disclosed ~45M E5 seats / 12% of installed base by Jun 30, 2022, and disclosed 160M seats across "premium" SKUs Sep 21, 2023. **Our SKU mapping suggests MSFT now at ~150M seats across E3/E5; uplift across E3/E5 = $96B annually.** See our prior SKU ests as of Jul 2023 and Jun 2025.

All estimates/forecasts are as of 3/9/2026 unless otherwise stated. 3/9/2026 16:45:34EDT. Please see page 5 for rating definitions, important disclosures and required analyst certifications.
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Exhibit 1 - Mapping Microsoft 365 User Counts By SKU

SKU	Category	Price (w/ Teams)	Est Users	User Mix
Microsoft 365 Commercial				
Microsoft 365 Apps for Enterprise	*Enterprise (>300 users)*	*$12.00*	*~25M*	*6%*
Office 365 E1	*Enterprise (>300 users)*	*$10.00*	*~10M*	*2%*
Office 365 E3	*Enterprise (>300 users)*	*$23.00*	*~90M*	*20%*
Office 365 E5	*Enterprise (>300 users)*	*$38.00*	*~50M*	*11%*
Microsoft 365 E3	*Enterprise (>300 users)*	*$36.00*	*~80M*	*18%*
Microsoft 365 E5	*Enterprise (>300 users)*	*$57.00*	*~70M*	*16%*
Microsoft 365 E7	*Enterprise (>300 users)*	*$99.00*	*~0M*	*0%*
Microsoft 365 Business Basic	*SMB (<300 users)*	*$6.00*	*~10M*	*2%*
Microsoft 365 Business Standard	*SMB (<300 users)*	*$12.50*	*~30M*	*7%*
Microsoft 365 Business Premium	*SMB (<300 users)*	*$22.00*	*~10M*	*2%*
Other Misc SKUs	*Frontline, Govt, Nonprofit, Edu*	*na/*	*~70M*	*16%*
Total			**~450M**	**100%**
Enterprise			*~325M*	*72%*
SMB			*~50M*	*11%*
Other			*~70M*	*16%*
Premium Mix			*~190M*	*42%*
Standard Mix			*~255M*	*57%*

Source: Wells Fargo Securities, LLC estimates, Company reports

Exhibit 2 - Sizing E5 > E7 and E3 > E7 Upsell Opportunity

E5 > E7 Upsell Opp		
E7 Price ($, per mo)	$99.00	MSFT blog 3-9-26, effective May 1, 2026
(-) E5 Price ($, per mo)	$57.00	MSFT enterprise pricing, 3-9-26
(=) Uplift Opportunity ($, per mo)	$42.00	
(x) Existing E5 Seats (in M)	70.0	WFS estimate, 3-9-26
(=) Monthly Upsell Opp (in M)	$2,940	
(x) Months	12	
(=) Annual Upsell Opp (in M)	$35,280	

E3 > E7 Upsell Opp		
E7 Price ($, per mo)	$99.00	MSFT blog 3-9-26, effective May 1, 2026
(-) E3 Price ($, per mo)	$36.00	MSFT enterprise pricing, 3-9-26
(=) Uplift Opportunity ($, per mo)	$63.00	
(x) Existing E3 Seats (in M)	80.0	WFS estimate, 3-9-26
(=) Monthly Upsell Opp ($, in M)	$5,040	
(x) Months	12	
(=) Annual Upsell Opp ($, in M)	$60,480	

E3 > E7 Upsell Opp	
Annual E5 Upsell Opp ($, in M)	$35,280
(+) Annual E3 Upsell Opp ($, in M)	$60,480
(=) Annual Upsell Opp ($, in M)	$95,760

Source: Wells Fargo Securities, LLC estimates, Company reports

Incremental Agent 365 adoption/stats across internal MSFT + preview customers: MSFT also highlighted its own usage of Agent 365, detailing 500K+ agents now deployed internally and generating more than 65K responses daily (as of the past month). Key use-cases emerging = research, coding, sales intelligence, customer triage and HR self-service. For preview customers, MSFT disclosed 10s of millions of agents now on the Agent 365 Registry and 10s of 1000s of customers in preview in its first 2 mos.

New E7 Bundle Details: Productivity + Security + AI: MSFT's new E7 suite builds upon its existing E5 offering, adding 3 key categories of features: 1) Microsoft Entra Suite, $12/mo standalone, 2) M365 Copilot, $30/mo standalone, and Microsoft Agent 365, $15/mo standalone. In total, the $99 per user per month list price comes at a ~15% discount

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vs. purchasing features a la carte ($117 total). Note: Security Copilot was also already included in the E5 suite as of Ignite in Nov 2025.

Exhibit 3 - Features Included In Microsoft 365 E7

Microsoft 365 E7:
The Frontier Worker Suite

		Microsoft 365 E5 (w/Teams) $60[1]	Microsoft Entra Suite $12	Microsoft 365 Copilot $30	Microsoft Agent 365 $15	Microsoft 365 E7 (w/Teams) $99[2]
Productivity	**Microsoft 365 apps:** Create and refine work across the apps people know and love	●				●
	OneDrive & SharePoint: Share, manage, and collaborate on content across teams	●				●
	Teams: Meet, chat, and call	●				●
	Windows: Secure, manage, and run work across enterprise devices	●				●
	Teams Phone: Cloud-based phone system built into Teams	●				●
	Power BI Pro: Turn data into shared, actionable insights	●				●
Security & Compliance	**Entra:** Identity and access management	● P2	● Suite			● Suite
	Defender: Endpoint, email, identity, and cloud threat protection	●				●
	Purview: Data security and compliance (ex. information protection, DLP, insider risk)	●				●
	Intune: Endpoint and device management	●				●
AI	**Copilot:** AI built into core productivity apps and Teams	○		●		●
	Copilot Studio & Agent Builder: Build, deploy, and scale custom AI agents	○ Metered		●		●
	Agent flexibility: Choose from pre-built agent library or access 3P marketplace			●		●
	Work IQ: AI grounded in personal and work data (incl. 3P data via connectors)	○		●		●
Agent Management	**Agent 365:** Observe, monitor and manage agents in real time				●	●
	Agent 365: Govern agents throughout their lifecycle				●	●
	Agent 365: Secure and protect all agents across your enterprise				●	●

1: $51.45 w/o Teams | 2. $90.45 w/o Teams

Source: Microsoft

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Investment Thesis, Valuation and Risks

Microsoft Corporation (MSFT)

Investment Thesis

We still see a bright future ahead for Microsoft, driven by continued growth prospects in huge categories of IT spend, ability to further monetize strong positioning in multiple end markets, and a financial profile that continues to exhibit durable margin expansion. We acknowledge shares are trading near historical highs, but think this is justified given its early AI lead and strong incumbent position in a tight market, esp. favorable in the current environment. We rate shares Overweight.

Target Price Valuation for MSFT

Our $615 PT is derived from 30x P/E on our Fwd NTM estimates, warranted given the unprecedented scale + durability of this biz and series of favorable LT tailwinds still ahead. The current AI-focused capex build cycle continues to affect FCF multiples; therefore, we remain focused on P/E multiples in the interim.

Risks to Our Price Target and Rating for MSFT

Downside risks to our price target include: (1) Competition—Increasing competition, particularly from large tech vendors such as Google, Facebook, Amazon, among others; (2) Increasing regulatory scrutiny—Technology companies have increasingly seen scrutiny from regulatory agencies and governments globally over the past several years, specifically, antitrust concerns; (3) Cybersecurity Risks; and (4) Margin compression—from Azure/OpenAI investments.

Companies Mentioned in Report

Company Name	Ticker	Last Price (03/06/26)
Microsoft Corporation	MSFT	$408.96

Source: Wells Fargo Securities LLC Estimates, FactSet

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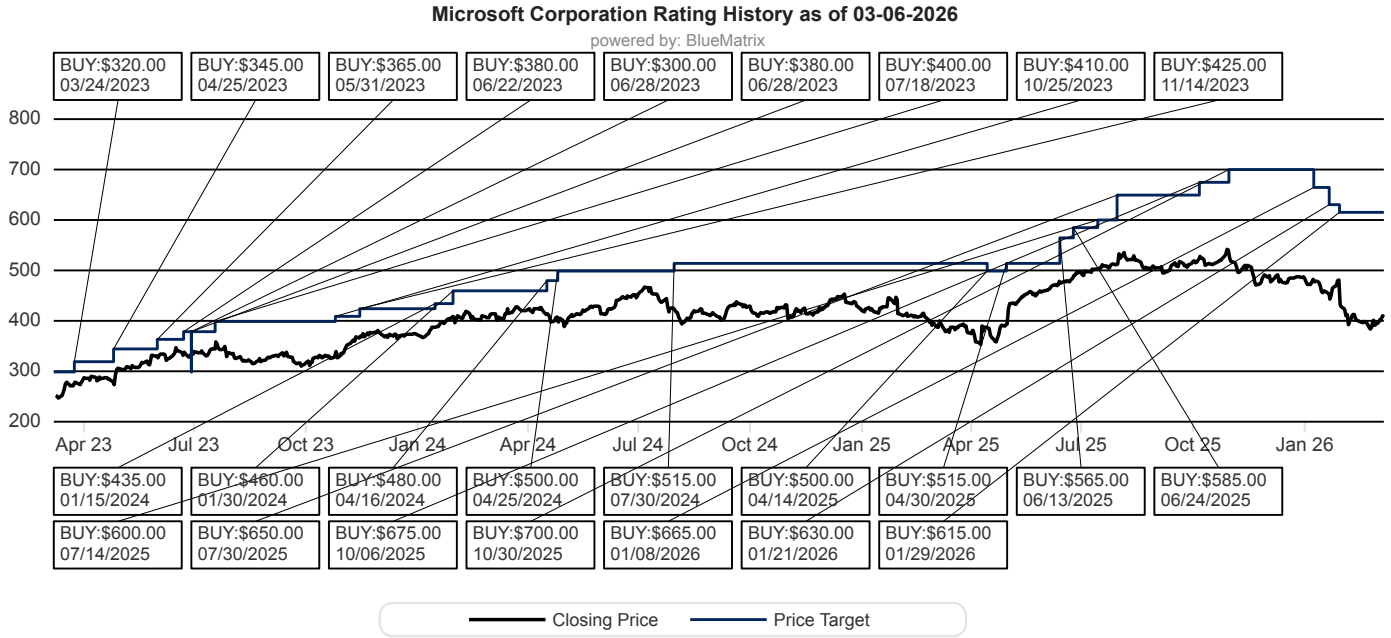

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